

The Process of Electing COBRA

It's your responsibility to notify your employer or your spouse's employer within sixty days of a qualifying event that the plan administrator might not know about, such as legal separation, divorce, or a child reaching the maximum age to be a covered dependent. Your failure to do so can cause you to forfeit your COBRA rights. Your plan administrator has fourteen days after the qualifying event (or after being notified by you of a qualifying event) to provide you and any other covered person with written notice of your rights under COBRA. You have an election period of sixty days from the date of the qualifying event or the date the notice was sent to choose whether to continue your coverage under the employer's group health plan.

Once you elect coverage, you need to pay premiums retroactive to the date of the qualifying event, which will provide you with continuous health insurance with no lapse in coverage. Your cost for COBRA coverage is the employer's actual cost plus a 2 percent administrative fee. You have the same grace period that the employer has from the insurance company, usually thirty days. If you don't pay the premium within the grace period, your coverage terminates. Each qualified beneficiary may elect COBRA coverage independently of any other qualified beneficiary. Coverage ends at the end of the maximum coverage period (eighteen or thirty-six months) or sooner, if one of the following occurs:

- You fail to pay your premium within the grace period.
- The employer no longer maintains any group health plan.
- You obtain coverage under another employer group plan that doesn't limit coverage for any pre-existing condition.
- You become entitled to Medicare benefits.

You may be eligible to convert your group health coverage into an individual policy at the end of the maximum COBRA continuation period. Check with your plan administrator.
